Ensuring Employees Take Five Days of Annual Paid Leave Each Year

An Easy-to-Understand Guide

Effective April 2019

From April 2019, all employers are required to ensure that eligible employees take five days of annual paid leave each year.

Ministry of Health, Labour and Welfare (MHLW)

Prefectural Labour Bureaus / Labour Standards Inspection Offices

Guide to the Work Style Reform Legislation: Labour Standards Act / Ensuring Five Days of Annual Paid Leave Each Year

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English translation of the supplied Japanese publication. The original page numbering is retained for cross-references; figures and tables have been reformatted in English.

What Work Style Reform Seeks to Achieve

Work Style Reform aims to enable working people to choose diverse and flexible ways of working that suit their individual circumstances.

To address the challenges facing Japan, including a shrinking working-age population due to a declining birthrate and an aging population, and increasingly diverse needs among workers, it is necessary both to improve productivity through investment and innovation and to expand employment opportunities and create an environment in which people can fully exercise their motivation and abilities.

By creating a society in which people can choose different ways of working according to their circumstances, the reform seeks to establish a virtuous cycle of growth and distribution and enable each working person to have better prospects for the future.

Ensuring Five Days of Annual Paid Leave Each Year

Annual paid leave is intended to refresh workers physically and mentally. In principle, it must be granted at the time requested by the worker. However, take-up remains low because workers feel concerned about inconveniencing colleagues or hesitate to request leave. Promoting the use of annual paid leave is therefore an important issue.

The Labour Standards Act has consequently been amended. From April 2019, all companies must ensure that workers granted at least ten days of annual paid leave per year, including managers and supervisors, take five of those days, with the employer designating the dates as necessary.

The Act on the Arrangement of Related Acts to Promote Work Style Reform was enacted during the 196th ordinary session of the Diet.

For an outline of the legislation and related information, see:

https://www.mhlw.go.jp/stf/seisakunitsuite/bunya/0000148322.html

Search topic: Toward the Realization of Work Style Reform.

This pamphlet explains the requirement for all employers, effective April 2019, to ensure that employees take five days of annual paid leave each year.

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I. Explanation of the Legislation

1. Basic Rules on Granting and Taking Annual Paid Leave

Point 1. Eligibility and Number of Days Granted

Under the Labour Standards Act, workers become entitled to annual paid leave when both of the following requirements are met:

• They have been continuously employed for six months from the date of hiring.

• They have attended at least 80% of all scheduled working days.

(1) Standard entitlement

As a rule, an employer must grant ten days of annual paid leave to a worker who has completed six months of continuous service and attended at least 80% of all scheduled working days during those six months. Covered workers include managers and supervisors and fixed-term employees.

Continuous service	6 months	1 year 6 months	2 years 6 months	3 years 6 months	4 years 6 months	5 years 6 months	6 years 6 months or more
Days granted	10	11	12	14	16	18	20

(2) Workers with fewer scheduled working days, including part-time workers

Annual paid leave is granted proportionately according to the number of scheduled working days.

Proportionate grants apply to workers whose prescribed weekly working hours are less than 30 hours and who have either no more than four scheduled working days per week or no more than 216 scheduled working days per year.

Days per week	Days per year	6 months	1 yr 6 mo	2 yr 6 mo	3 yr 6 mo	4 yr 6 mo	5 yr 6 mo	6 yr 6 mo+
4	169-216	7	8	9	10*	12*	13*	15*
3	121-168	5	6	6	8	9	10*	11*
2	73-120	3	4	4	5	6	6	7
1	48-72	1	2	2	2	3	3	3

* Workers receiving the marked grants are covered by the requirement to take five days of annual paid leave each year, effective April 2019 (see pp. 5-10). These cells correspond to the bold outlines in the original table.

Point 2. Rules on Granting Annual Paid Leave

Requirement	Explanation
1. Timing of annual paid leave	Leave must be granted at the time requested by the worker. If the worker specifies particular dates, leave must be granted on those dates unless the employer exercises the right to change the dates described below.
Right to change requested dates	If granting leave at the requested time would interfere with normal business operations, the employer may change it to another time. An example is when many workers request the same period and it is difficult to grant leave to all of them.
2. Carryover	The limitation period for claiming annual paid leave is two years. Leave not taken in the preceding year must remain available in the following year.
3. No disadvantageous treatment	Employers must refrain from reducing wages or otherwise treating workers disadvantageously for taking annual paid leave. For example, days of annual paid leave must not be treated as absence, or equivalent to absence, when calculating attendance allowances or bonuses.

Other Forms of Leave

Type	Description	Labour-management agreement
Planned annual paid leave	Leave dates may be scheduled in advance. At least five days must remain available for the worker to request and take freely.	Required
Half-day annual paid leave	Leave is normally taken in whole days. If a worker requests half-day leave and specifies the timing, and the employer agrees, half-day leave may be granted insofar as it does not impede whole-day leave.	Not required
Hourly annual paid leave	Leave is normally taken in whole days. If a worker requests hourly leave, it may be granted up to the equivalent of five days per year.	Required
Special leave	In addition to annual paid leave, a company may establish its own special leave scheme, freely determining its purposes and how it is taken.	Not required

Hourly annual paid leave and special leave do not count toward the five-day annual paid leave requirement effective April 2019 (see pp. 5-10).

Having checked these basic rules, let us look at the requirement to ensure five days of annual paid leave each year.

2. Ensuring Five Days of Annual Paid Leave Each Year

Effective April 2019

Until March 2019	From April 2019
No employer obligation concerning the number of days of annual paid leave actually taken.	Employers must ensure that workers take five days each year. This applies to workers granted at least ten days of annual paid leave.

Point 1. Covered Workers

The requirement applies to workers granted ten or more days of annual paid leave.

• Only workers whose statutory annual paid leave grant is at least ten days are covered.

• Managers and supervisors and fixed-term employees are also covered.

See p. 3 for eligibility requirements.

Point 2. Duty to Designate Five Days Each Year

For each worker, the employer must designate dates and ensure that five days of annual paid leave are taken within one year of the date on which leave is granted (the "reference date").

Example

Event	Date / requirement
Hiring date	April 1, 2019
Grant date / reference date	October 1, 2019: ten days granted
One-year compliance period	October 1, 2019 - September 30, 2020
Required leave	Five days must be taken within this period.

Point 3. How to Designate Leave Dates

Before designating dates, the employer must seek the worker's opinion. The employer must also endeavor to respect that opinion so that the designated dates match the worker's wishes as closely as possible.

How Employer Designation Works

1. Ask the worker when they would like to take leave

Any suitable method may be used, such as an interview, an annual paid leave schedule, email, or a system for collecting workers' preferences.

Speaker	Example dialogue
Employer	When would you like to take annual paid leave?
Worker	I would like to take leave on [month/day].

2. Designate the dates, respecting the worker's opinion

Speaker	Example dialogue
Employer	Then please take leave on [month/day].

Point 4. When Employer Designation Is Unnecessary

For a worker who has already requested and taken at least five days of annual paid leave, the employer need not, and may not, designate leave dates under this requirement.

Days of annual paid leave requested and taken by the worker, and days granted under a labour-management agreement scheduling leave in advance (planned annual paid leave), must be deducted from the five days subject to the designation requirement.

In other words:

• It is sufficient for the worker to take at least five days through employer designation, the worker's own requests, planned annual paid leave, or a combination of these methods.

• Once the total taken through these methods reaches five days, further employer designation under this requirement is neither necessary nor permitted.

Point 5. Annual Paid Leave Register

Employers must prepare an annual paid leave register for each worker and retain it for three years.

The document must identify, for each worker, the leave dates, the number of days taken, and the reference date. It must be retained during the period for which the leave is granted and for three years after that period ends.

The register may be prepared together with the employee register or wage ledger. It may also be managed electronically, provided it can be output whenever necessary.

Register Example, Work Rules, and Penalties

Example: Add the required information to the employee register or wage ledger

Field	Example / explanation
Reference date	April 1, 2019. If there are two reference dates (p. 9), record both.
Days taken	18 days. Record the number taken within one year of the reference date. If there are two reference dates (p. 9), record the number during the period from the first reference date to one year after the second.
Leave dates in 2019	Apr 4 (Thu); May 7 (Tue); Jun 3 (Mon); Jul 1 (Mon); Aug 1 (Thu); Aug 13 (Tue); Aug 14 (Wed); Aug 15 (Thu); Aug 16 (Fri); Aug 19 (Mon); Sep 2 (Mon); Oct 9 (Wed); Nov 5 (Tue); Dec 6 (Fri).
Leave dates in 2020	Jan 14 (Tue); Feb 10 (Mon); Mar 19 (Thu); Mar 20 (Fri).

Point 6. Provisions in the Work Rules

Matters concerning leave are mandatory items in work rules (Article 89 of the Labour Standards Act). If an employer designates annual paid leave dates, the work rules must specify the workers covered, the method of designation, and other relevant matters.

Sample provision: Article [number]

Paragraphs 1-4 omitted. Refer to the Model Work Rules published on the MHLW website.

5. Notwithstanding paragraph 3, for workers granted at least ten days of annual paid leave under paragraph 1 or 2, the Company shall, within one year of the grant date, designate in advance the dates for five days of the worker's available annual paid leave, after seeking and respecting the worker's opinion, and ensure that the worker takes that leave. Days taken under paragraph 3 or 4 shall be deducted from those five days.

Point 7. Penalties

Violations of Points 2 and 6 may be subject to penalties.

Provision violated	Violation	Penalty provision / penalty
Article 39(7), Labour Standards Act (Point 2)	Failure to ensure five days of annual paid leave each year.*	Article 120: fine of up to JPY 300,000.
Article 89, Labour Standards Act (Point 6)	Employer designation implemented without provisions in the work rules.	Article 120: fine of up to JPY 300,000.
Article 39, excluding paragraph 7 (other rules: p. 4)	Failure to grant the prescribed leave at the time requested by the worker.*	Article 119: imprisonment with work for up to six months or a fine of up to JPY 300,000.

* A violation subject to penalties is treated as one offense per affected worker. In supervision and guidance, Labour Standards Inspection Offices generally provide careful guidance toward correction and seek improvement.

Annual paid leave benefits workers and employers through recovery from fatigue, improved productivity, and other effects. Five days is only a minimum. Improve the working environment so that workers can take more than five days.

When All or Part of Leave Is Granted in Advance

The preceding pages explain the basic rules. The following pages explain cases where at least ten days are granted before the statutory reference date, such as when new employees receive leave upon joining.

For a worker whose statutory grant is at least ten days, the obligation arises when the cumulative grant reaches ten days, even if granted before the statutory reference date.

Case 1. Ten or more days are granted before the statutory reference date

The statutory reference date is six months after hiring. If ten or more days are granted earlier, the employer must ensure that five days are taken within one year of that earlier grant date.

Illustration: Ten or more days granted upon joining on April 1, 2019

Normally, five days must be taken during the year from October 1, six months after joining, through September 30 of the following year. If ten or more days are granted in advance on the hiring date, April 1, five days must instead be taken within one year of that date.

Event	Date
Hiring date	April 1, 2019
Advance grant	April 1, 2019: ten days granted; obligation begins
Ordinary statutory reference date	October 1, 2019
Deadline for five days to be taken	March 31, 2020

The required one-year period is April 1, 2019 - March 31, 2020. Thereafter, five days must be taken during each one-year period beginning April 1.

Case 2. Overlapping One-Year Compliance Periods

This occurs when grant dates differ between the first and second years of employment, for example when a company aligns grant dates for employees in their second and later years.

Where the periods overlap, it is also permissible to require a prorated number of days over the combined period, from the start of the earlier period to the end of the later period, according to its length.

Illustration

At least ten days are granted six months after joining, on October 1, 2019. From the following fiscal year onward, leave is granted on April 1 to align reference dates across the company.

Ordinarily, five days must be taken within one year of each reference date, October 1, 2019 and April 1, 2020. To simplify administration, the employer may instead ensure at least 7.5 days (18 / 12 x 5 days) over the 18-month period from October 1, 2019 to March 31, 2021.

Milestone	Date
Joining	April 1, 2019
First-year reference date: ten days granted	October 1, 2019
Second-year reference date: 11 days granted	April 1, 2020
End of first one-year period	September 30, 2020
End of second one-year period	March 31, 2021

Without proration

Period	Requirement
1. October 1, 2019 - September 30, 2020	Five days
2. April 1, 2020 - March 31, 2021	Five days

Both periods must be managed separately. The overlap is April 1 - September 30, 2020, which complicates administration.

With proration

Combined period	Requirement
October 1, 2019 - March 31, 2021 (18 months)	7.5 days: 18 / 12 x 5

Calculation: number of months / 12 x 5 days.

The requirement is at least 7.5 days if the worker wishes to take half-day leave and the employer agrees. Otherwise, at least eight days must be taken.

Case 3. Part of the Ten-Day Grant Is Made in Advance

If part of the ten days is granted before the statutory reference date, five days must be taken within one year from the date when the cumulative grant reaches ten days. If the worker has already requested and taken some of the advance leave on or before that date, those days must be deducted from the five-day requirement.

Illustration: Five days on joining and another five days on July 1

The worker joins on April 1, 2019, receives five days immediately, and receives another five days on July 1, 2019.

July 1, 2019, when the cumulative grant reaches ten days, is the reference date. Five days must be taken within one year from that date. Days taken from the advance grant during April 1 - June 30, 2019, including planned annual paid leave, must be deducted from the five days.

Event	Date / amount
Joining and initial grant	April 1, 2019: five days granted
Leave taken before the reference date	Two days during April 1 - June 30, 2019
Additional grant / reference date	July 1, 2019: five days granted; cumulative grant reaches ten
Remaining requirement	Three days during July 1, 2019 - June 30, 2020

Supplementary explanation: The following year's grant

If part of the first year's statutory leave is granted in advance, subsequent annual grants must also be advanced by at least the same length of time relative to the statutory reference date. In this example, the next grant must be made no later than April 1, 2020.

This results in overlapping compliance periods from the second year onward. Case 2 (p. 9) therefore also applies. It is permissible to ensure nine days during July 1, 2019 - March 31, 2021, calculated as 21 / 12 x 5 = 8.75 days, rounded up to nine.

Milestone	Date
First reference date	July 1, 2019
Second reference date	April 1, 2020
End of first compliance period	June 30, 2020
End of combined compliance period	March 31, 2021

For the combined period, deduct any days that the worker requested and took during April 1 - June 30, 2019 from the nine-day requirement.

The next pages present examples of ways to simplify leave management and ensure that five days are taken each year.

II. Practical Implementation

1. Ways to Simplify Annual Paid Leave Management

Potential difficulty

In workplaces where employees join on different dates, reference dates vary by worker. Detailed administration is needed to track who must take five days and by when.

Method 1. Align reference dates with the start of the calendar or fiscal year

Suitable for larger workplaces and workplaces recruiting new graduates as a cohort.

Using one common reference date is effective. For example, aligning reference dates with January 1 or April 1 makes it possible to manage many workers on a common basis. See p. 9 for overlapping periods resulting from alignment.

Method 2. Align reference dates with the start of the month

Suitable for workplaces recruiting mid-career employees and relatively small workplaces.

Even if workers join partway through a month, align their reference dates with the first day of the relevant month. Workers recruited in the same month can then be managed together.

Example: Granting leave exactly six months after hiring

Hiring date	Grant date (ten days)	Deadline for five days to be taken
April 10, 2019	October 10, 2019	October 9, 2020
April 20, 2019	October 20, 2019	October 19, 2020
May 15, 2019	November 15, 2019	November 14, 2020
May 25, 2019	November 25, 2019	November 24, 2020

Reference dates and compliance periods differ from worker to worker.

Example: Aligning grants with the first day of the month in which the reference date falls

Hiring date(s)	Aligned grant date (ten days)	Deadline for five days to be taken
April 10 and April 20, 2019	October 1, 2019	September 30, 2020
May 15 and May 25, 2019	November 1, 2019	October 31, 2020

Aligning reference dates with the start of the month also aligns the five-day compliance periods by month.

2. Ways to Ensure Five Days Are Taken Each Year

Method 1. Prepare an Annual Paid Leave Schedule on the Reference Date

Prepare a workplace leave schedule showing each worker's planned leave so that workers can take annual paid leave without feeling concerned about inconveniencing supervisors or colleagues.

1. Preparing the schedule

Planning is important for increasing leave take-up. Individual schedules for each year, quarter, or month make intended leave dates visible and help coordinate dates within the workplace.

2. When to prepare it

To meet the five-day requirement reliably and enable workers to plan leave throughout the year, first prepare the year's schedule on the reference date.

Example: Annual schedule

Worker / reference date / balance	Category	Annual total	April	May	June
Taro Sato / Apr 1, 2019 / 20 days	Planned	20 days	2 days within Apr 26-30	2 days: May 1, 2	2 days in mid-June
Taro Sato	Actual	6 days	2 days: Apr 26, 27	2 days: May 1, 2	2 days: Jun 15, 16
Hanako Suzuki / Apr 1, 2019 / 15 days	Planned	15 days	2 days: Apr 15, 16	2 days: May 20, 21	1 day: Jun 2
Hanako Suzuki	Actual	5 days	2 days: Apr 15, 16	1 day: May 20	2 days: Jun 2, 3

The schedule continues for the remaining months and workers.

Annual plans may change as the year progresses. Quarterly or monthly schedules allow more detailed adjustments to changing plans and operational needs.

Example: Monthly schedule

Worker	1 Mon	2 Tue	3 Wed	4 Thu	5 Fri	6 Sat	7 Sun	8 Mon	9 Tue	10 Wed	11 Thu
Taro Sato					X					X	
Hanako Suzuki		X						X			

X indicates planned annual paid leave.

The schedule continues for the remaining dates and workers.

Alongside scheduling, establish operational arrangements that assume workers will take annual paid leave, and follow up on actual leave taken. These measures help make the workplace more conducive to taking leave.

Method 2. Have the Employer Designate Leave Dates

From April 2019, employers must designate dates as necessary to ensure five days of annual paid leave (see pp. 5-10). This page explains how to use employer designation in practice.

1. When to designate dates

Designation should be made at an appropriate time during the year from the reference date. To ensure five days while allowing workers to request leave themselves and managing the process efficiently:

• After a set period, such as six months, designate dates for workers who have requested or taken fewer than five days.

• For workers whose past leave take-up has been very low, designate dates on the reference date so that leave can be planned throughout the year.

2. Worked example: Review after six months

Step	Situation / action
1. April 1	At least ten days are granted. The obligation is to ensure five days during April 1 - March 31 of the following year.
2. October 1	Six months have elapsed. Only two days have been taken, and no further days have been requested at that time.
3. Remaining six months	The employer designates three further days during October 1 - March 31 to make up the shortfall.

Example discussion

Employer: "It seems you have not yet taken five days. When would you like to take leave?"

Worker: "I would like to take leave on [month/day]."

Employer: "Then please take leave on [month/day]."

Method 3. Use the Planned Annual Paid Leave System

Planned annual paid leave allocates leave dates in advance, enabling workers to take leave without hesitation. Leave taken under this system counts toward the five-day requirement. See pp. 18-19 for introduction procedures.

1. Benefits

For employers	For workers
Easier labour management and planned business operations.	Annual paid leave can be taken without hesitation.

2. Number of days

The portion of the grant exceeding five days may be scheduled under this system.

Example: worker granted 11 days	Days
May be planned under a labour-management agreement	6
Must remain available for the worker to take freely	5

3. Methods suited to the company or workplace

(1) Simultaneous leave through a company-wide or workplace-wide closure

All workers take leave on the same dates. This is used, for example, in manufacturing workplaces that can stop operations and give everyone leave.

(2) Staggered leave by team or group

Teams or groups take leave in rotation. This is used, for example, in distribution and service businesses where increasing regular closure days is difficult.

(3) Individual leave based on a planned leave schedule

The system may also be introduced individually. Priority may be given to summer, year-end/New Year, Golden Week, birthdays, wedding anniversaries, or other personal occasions.

Example 1. Combine planned leave with summer or year-end/New Year holidays

Combining planned annual paid leave with existing holidays creates longer continuous breaks. This is commonly used with simultaneous or staggered leave.

August

Sun	Mon	Tue	Wed	Thu	Fri	Sat
				1	2	3
4	5	6	7	8	9	10
11	12	13	14	15	16	17
18	19	20	21	22	23	24
25	26	27	28	29	30	31

Amber: planned annual paid leave. Green: scheduled days off.

Calendar example: planned leave on August 12-16 connects the existing days off on August 10-11 and 17-18 into a continuous break.

Planned Leave: Bridge Holidays and Quiet Periods

Example 2. Create a continuous break using bridge holidays

When days off are separated by working days, planned annual paid leave can bridge the gaps. At a workplace closed on Saturdays, Sundays, and national holidays, if a national holiday falls on Tuesday, planned leave on Monday creates a four-day break with the preceding weekend.

Likewise, scheduling leave between national holidays and weekends during Golden Week can create a continuous break of around ten days. Planned leave makes longer breaks easier to take.

April - illustrative calendar

Sun	Mon	Tue	Wed	Thu	Fri	Sat
	1	2	3	4	5	6
7	8	9	10	11	12	13
14	15	16	17	18	19	20
21	22	23	24	25	26	27
28	29	30				

Amber: planned annual paid leave. Green: scheduled days off.

May - illustrative calendar

Sun	Mon	Tue	Wed	Thu	Fri	Sat
			1	2	3	4
5	6	7	8	9	10	11
12	13	14	15	16	17	18
19	20	21	22	23	24	25
26	27	28	29	30	31	

Amber: planned annual paid leave. Green: scheduled days off.

Calendar example: April 30 and May 1-2 bridge the surrounding holidays and weekends. The dates and classifications above reproduce the illustrative calendars in the source.

Example 3. Schedule planned leave during quiet periods

If busy and quiet periods are predictable, scheduling leave during relatively quiet times can improve take-up without disrupting operations.

February - illustrative calendar

Sun	Mon	Tue	Wed	Thu	Fri	Sat
						1
2	3	4	5	6	7	8
9	10	11	12	13	14	15
16	17	18	19	20	21	22
23	24	25	26	27	28	29

Amber: planned annual paid leave. Green: scheduled days off.

Example: a workplace whose quiet period is February schedules annual paid leave on each Monday.

Example 4. Introduce Anniversary Leave

To make annual paid leave more readily accepted in the workplace, employees' birthdays, wedding anniversaries, and children's birthdays can be designated as "anniversary leave." Because these dates are known in advance, they are well suited to planned annual paid leave.

This approach is used with individual planned leave schedules.

September - illustrative calendar

Sun	Mon	Tue	Wed	Thu	Fri	Sat
1	2	3	4	5	6	7
8	9	10	11	12	13	14
15	16	17	18	19	20	21
22	23	24	25	26	27	28
29	30					

Amber: planned annual paid leave. Green: scheduled days off.

Example: designate three consecutive days, September 4-6, as anniversary leave surrounding employee A's child's birthday on September 5.

+1: Add One Day of Leave to Weekends and Holidays

"Plus-one leave" adds one day of annual paid leave to weekends or national holidays to create a longer continuous break.

Through labour-management cooperation, combine annual paid leave with existing days off to create three (or two) days off plus at least one additional day.

Calendar illustration in the source

Dates	Illustrated classification
September 15-17	Weekend plus Respect for the Aged Day on September 17
September 21	One additional day of annual paid leave
September 22-24	Weekend, Autumnal Equinox Day on September 23, and substitute holiday on September 24

Adding leave on September 21 creates a four-day break from September 21 through 24. This is a separate illustrative calendar from the anniversary example above.

Column: An Example of Workplace Initiatives

Work as a team and share information so that taking leave is easier

MHLW interviews with companies achieving high annual paid leave take-up found that some hold weekly meetings so that both supervisors, such as section managers, and colleagues understand the progress of workers' tasks. By organizing work as a team rather than leaving it with individuals, business can continue when someone is away on leave.

It is important for each worker to perform their own duties properly. At the same time, team-based work and shared information on progress create an environment in which leave is easier to take.

Individual responsibility without shared coverage	Team-based work
Tasks are handled separately by individual workers.	Team members share progress information and cover work when a colleague is absent.

Create an environment that supports taking leave

Make annual paid leave easier to take

Management should lead efforts to encourage leave and foster a supportive atmosphere, while improving both labour and management attitudes toward annual paid leave.

Create opportunities for labour-management discussion

Review actual leave take-up and discuss specific measures to improve it.

Reference: Work and Leave Improvement Portal

This website provides companies with information to help review and improve their employees' working and leave arrangements. Use it to support improvements in how people work and take time off.

https://work-holiday.mhlw.go.jp/

Search topic: Improving Work and Leave. The source also indicates smartphone support.

Reference: Introducing Planned Annual Paid Leave

Both provisions in the work rules and a labour-management agreement are required.

(1) Provisions in the work rules

First, include a provision stating, for example, that when an agreement is concluded with the workers' representative, leave will be taken on the dates specified in that agreement.

Sample work-rule provision: Annual Paid Leave, Article [number]

Earlier provisions omitted.

"Notwithstanding the preceding paragraph, under a written agreement with the workers' representative, the portion of each worker's annual paid leave exceeding five days may be taken on dates designated in advance."

(2) Concluding a labour-management agreement

To implement planned leave, conclude a written agreement, in accordance with the work rules, with the union representing a majority of workers or with a representative of a majority of workers. This agreement does not need to be filed with the competent Labour Standards Inspection Office.

The agreement should specify:

1. Workers covered

Exclude workers known in advance to be on childcare leave or maternity leave during the planned dates, or to be leaving employment, for example through mandatory retirement, before those dates.

2. Number of days covered

At least five days must remain available for workers to take freely. The portion exceeding five days may be allocated under the agreement.

3. Specific method

• Simultaneous workplace-wide leave: specify the actual dates.

• Staggered leave by team or group: specify the dates for each team or group.

• Individual scheduling: specify when schedules will be prepared and the procedures to be followed.

4. Workers with insufficient annual paid leave

For a simultaneous workplace-wide closure, take either of the following measures for new employees and others without annual paid leave exceeding five days:

• Treat the closure dates as paid special leave.

• Pay an allowance of at least 60% of average wages for the closure dates.

5. Changes to planned dates

If changes may be needed, specify the procedures for changing planned dates in the agreement in advance.

Examples of Labour-Management Agreements

Simultaneous Leave

Agreement on Planned Annual Paid Leave (Example)

[Company] and [Labour Union] agree as follows:

1. Five days of annual paid leave available in fiscal year [year] to employees working at the Company's head office shall be granted on the following dates: [month/day], [month/day], etc.

2. If an employee's available leave, after deducting five days, is less than five days, paid special leave shall be granted on the dates in paragraph 1 to cover the shortfall.

3. If unavoidable operational reasons require attendance on a designated date, the Company shall change the dates in paragraph 1 after consultation with the Union.

Date: [year/month/day]. For [Company]: [name], General Affairs Director. For [Labour Union]: [name], Executive Committee Chair.

Staggered Leave

Agreement on Planned Annual Paid Leave (Example)

[Company] and workers' representative [name] agree as follows:

1. Each department shall divide its employees into Groups A and B. The department manager shall coordinate the allocation.

2. Five days of each employee's annual paid leave for fiscal year [year] shall be granted according to the following group schedule.

Group A	[month / start day] - [end day]
Group B	[month / start day] - [end day]

3. If an employee's available leave, after deducting five days, is less than five days, paid special leave shall be granted on the dates in paragraph 2 to cover the shortfall.

4. If unavoidable operational reasons require attendance on a designated date, the Company shall change the dates in paragraph 2 after consultation with the workers' representative.

Date: [year/month/day]. For [Company]: [name], General Affairs Director. Workers' representative of [Company]: [name].

Individual Leave

Agreement on Planned Annual Paid Leave (Example)

[Company] and workers' representative [name] agree as follows:

1. Of employees' annual paid leave for fiscal year [year] ("annual leave"), up to six days from the portion exceeding five days shall be allocated as planned leave. If the balance after deducting five days is less than six days, paid special leave shall cover the shortfall.

2. Planned leave shall comprise three days during April-September and three days during October-March of the following year.

3. The Company shall prepare individual leave schedules and notify employees at least two weeks before each half-year period begins.

4. Each employee shall submit their preferred schedule, using the prescribed form, to their department manager at least one month before planned leave begins for each period.

5. Department managers shall coordinate and determine leave dates based on those requests.

6. If unavoidable operational reasons require attendance on a designated date, the Company shall change the dates determined under paragraph 5 after consultation with the workers' representative.

Date: [year/month/day]. For [Company]: [name], General Affairs Director. Workers' representative of [Company]: [name].

III. Questions and Answers

Further frequently asked questions are available on the MHLW website. Search topic: Work Style Reform, MHLW, Q&A.

https://www.mhlw.go.jp/stf/seisakunitsuite/bunya/0000148322_00001.html

For questions about individual cases, contact the competent Labour Standards Inspection Office or Prefectural Labour Bureau (see p. 23).

Questions About Reference Dates

Q1. If at least ten days were granted before April 2019, for example in January 2019, must five of those days be taken after April 2019?

The obligation begins on the first reference date on or after April 1, 2019, when at least ten days are granted. A grant made before April 2019 does not create the employer's designation obligation under the amendment. Failure to ensure five days from such a grant therefore does not constitute a violation of this requirement.

Q2. New employees joining April 1 receive at least ten days immediately, rather than on October 1, six months later, and leave is subsequently managed by fiscal year. What is the reference date?

April 1 is the reference date. See p. 8.

Questions About Leave That Counts

Q3. May an employer designate half-day leave? If a worker takes half-day leave voluntarily, can it be deducted from the five days?

If the worker expresses a preference for half-day leave when the employer seeks their opinion, leave may be designated in half-day (0.5-day) units. Half-day leave taken at the worker's own request may also be deducted at 0.5 day per occasion.

Hourly annual paid leave is not subject to employer designation, and hours taken voluntarily cannot be deducted from the five days.

Q4. If a part-time worker or other worker with fewer scheduled days receives fewer than ten days during the year, but has ten or more after adding carryover, are they covered?

No. Coverage depends on a statutory grant of at least ten days in the current year, excluding carryover from the previous year. See p. 3 for grant rules.

Q5. If leave carried over from the previous year is taken, can those days count toward the five-day requirement?

Yes. It does not matter whether the annual paid leave actually taken comes from the previous year's carryover or the current year's grant on the reference date.

Questions and Answers (Continued)

Q6. Can paid special leave provided by the company in addition to statutory annual paid leave be deducted from the five days?

No, days of special leave established separately from statutory annual paid leave cannot be deducted. This excludes additional grants that effectively supplement statutory annual paid leave, such as allowing statutory leave to remain available after the limitation period under Article 115 of the Labour Standards Act has expired, without restricting the reasons for or timing of its use. "Special leave" is used in this sense below.

Abolishing such special leave and replacing it with annual paid leave in response to this amendment would not accord with the purpose of the amendment. If the work rules are changed without workers' agreement and the conditions or effects after conversion disadvantage workers, the change must be reasonable under the legal principles governing disadvantageous changes to work rules.

Q7. May a non-statutory scheduled day off be converted into a working day, and that day then designated as annual paid leave, in response to the amendment?

This approach does not substantively promote annual paid leave take-up and is undesirable.

Q8. For a seconded worker, is the sending employer or receiving employer responsible for ensuring five days?

For a secondment retaining the employment relationship with the sending employer, the Labour Standards Act contains no specific rule; responsibility depends on the agreement among the sending employer, receiving employer, and worker. The agreement also determines the reference date and whether leave taken with the sending employer is deducted from the five days to be designated by the receiving employer.

For a transfer of employment, the employment contract exists only with the receiving employer. That employer must ensure five days during the year beginning when it grants at least ten days. In principle, a new reference date is established at the receiving employer, and leave taken with the sending employer cannot be deducted.

Questions About Violations

Q9. Are penalties imposed if even one worker fails to take five days?

This is treated as a violation. However, when violations are identified through supervision and guidance, Labour Standards Inspection Offices generally provide careful guidance toward correction and seek improvement.

Q10. Is designation alone sufficient, or must the employer ensure the leave is actually taken?

Designation alone is insufficient. If five days have not actually been taken within one year of the reference date, this is treated as a violation.

Q11. What responsibility does the employer bear if a worker does not want leave and refuses to take it even after designation?

If the worker disregards the designation, comes to work on their own initiative, and the employer accepts the work, annual paid leave has not been taken and the employer may be held responsible for a violation. As noted above, Labour Standards Inspection Offices generally provide careful guidance toward correction and seek improvement when violations are identified.

Questions and Answers (Continued)

Q12. If a worker takes five days at their own request before the employer-designated dates arrive, is it acceptable not to take leave on those designated dates?

There is no violation because the worker has already taken five days voluntarily. However, the original designation does not automatically become invalid unless there is a specific agreement between the employer and worker.

Other Questions

Q13. Must workers on leave of absence also take five days of annual paid leave?

If compliance is impossible for the employer, there is no liability for a violation. An example is a worker who was already on leave of absence before the reference date and does not return at any time during the entire following year.

Q14. Must a worker returning from childcare leave partway through the year also take five days?

Yes. Such workers must also take five days. This does not apply if the remaining working days in the period are fewer than the remaining annual paid leave days the employer must designate, making five days impossible to achieve.

Q15. How is a change from contract employee to regular employee during the period handled?

Even if employment status changes during the relevant period, five days must still be taken within one year of the reference date.

If the change advances the reference date, for example from October 1 as a contract employee to April 1 after becoming a regular employee, the compliance periods overlap. See p. 9 for the treatment of such cases.

Q16. What should the employer do if a worker asks to change an employer-designated leave date? Must the register be updated each time?

The employer should seek the worker's opinion again and, as far as possible, set a date that matches their wishes. If the date changes, the annual paid leave register must be amended.

Q17. Are managers and supervisors also required to take five days?

Yes. Managers and supervisors are also covered (see p. 5).

IV. Consultation Services

Questions About Work Style Reform Legislation

Labour Standards Inspection Offices: Working Hours Consultation and Support Corners

Consultations on overtime limits, annual paid leave, and related matters. Search topic: Labour Standards Inspection Offices.

https://www.mhlw.go.jp/kouseiroudoushou/shozaiannai/roudoukyoku/

Prefectural Labour Bureaus

For part-time and fixed-term workers: Employment Environment and Equal Employment Departments/Offices. For dispatched workers: Labour Supply and Demand Adjustment Departments/Divisions/Offices.

Consultations on eliminating unreasonable differences in treatment between regular employees and non-regular employees, including part-time, fixed-term, and dispatched workers. Search topic: Prefectural Labour Bureaus.

https://www.mhlw.go.jp/kouseiroudoushou/shozaiannai/roudoukyoku/

Support for Resolving Work Style Reform Challenges

Work Style Reform Promotion Support Centers

Social insurance and labour consultants and other experts advise on legislation, working-hours management, wage-system reviews, subsidies, and other labour management issues. Search topic: Work Style Reform Promotion Support Centers.

https://hatarakikatakaikaku.mhlw.go.jp/consultation/

Occupational Health Support Centers

Occupational health specialists advise on protecting workers' health, including physician interviews and guidance. Search topic: Occupational Health Support Centers.

https://www.johas.go.jp/sangyouhoken/sodan/tabid/122/Default.aspx

Yorozu Support Centers

Experts advise on a wide range of management challenges, including productivity improvement and labour shortages. Search topic: Yorozu Support Centers.

https://yorozu.smrj.go.jp/

Societies of Commerce and Industry; Chambers of Commerce and Industry; Federations of Small Business Associations

Support for small and medium-sized businesses and small enterprises across management, including business improvement, financing, tax, and labour matters.

Search topics and websites: Nationwide Societies of Commerce and Industry Web Search - https://www.shokokai.or.jp/?page_id=1754

List of Chambers of Commerce and Industry Nationwide - https://www5.cin.or.jp/ccilist

Prefectural Federations of Small Business Associations - https://www.chuokai.or.jp/link/link-01.htm

Hello Work

Consulting to help fill vacancies, workplace tours, and job interview events. Search topic: Hello Work.

https://www.mhlw.go.jp/kouseiroudoushou/shozaiannai/roudoukyoku/

Medical Work Environment Improvement Support Centers

Specialist support organizations provide comprehensive assistance tailored to individual medical institutions. Search topic: Iki-Sapo.

https://iryou-kinmukankyou.mhlw.go.jp/information/

Other Consultation Services

Space for additional local contact information, as in the source publication.